Introduction to Management MGNT110

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Learning Objectives

- Identify impact of changes in contemporary world
- Recognise trends in digital organisations
- Understand managing as sensemaking
- Grasp managerial rationalities
- Familiarise with global shifts

40+ Years of unprecedented change

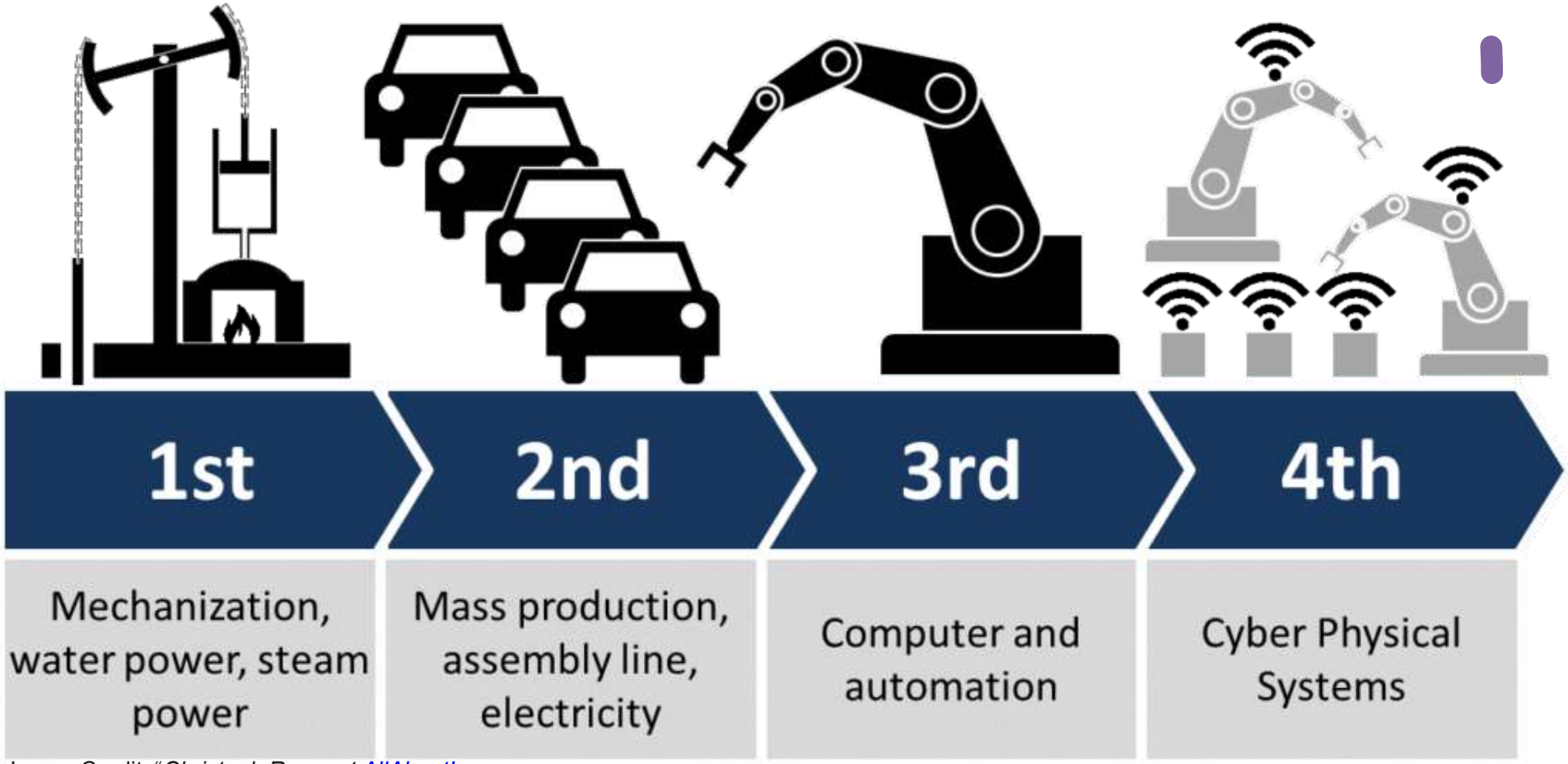

Image Credit: "*Christoph Roser at AllAboutLean.com*

40+ Years of unprecedented change

- In the past, management was stable. Today, it is constantly changing.

  - From the **steam** engine to the **search** engine
  - From **organizational** to global division of **labor**
  - From **telegram** to **telephone** to text to **facetime**
  - From **bureaucracy** towards **gig** economy
  - From industrial revolution's **production line** to digitisation and **AI**
  - Organizations' **impact** on human and environment to environmental **wellbeing and sustainability**

Societal changing paradigms have implications for managing and organising

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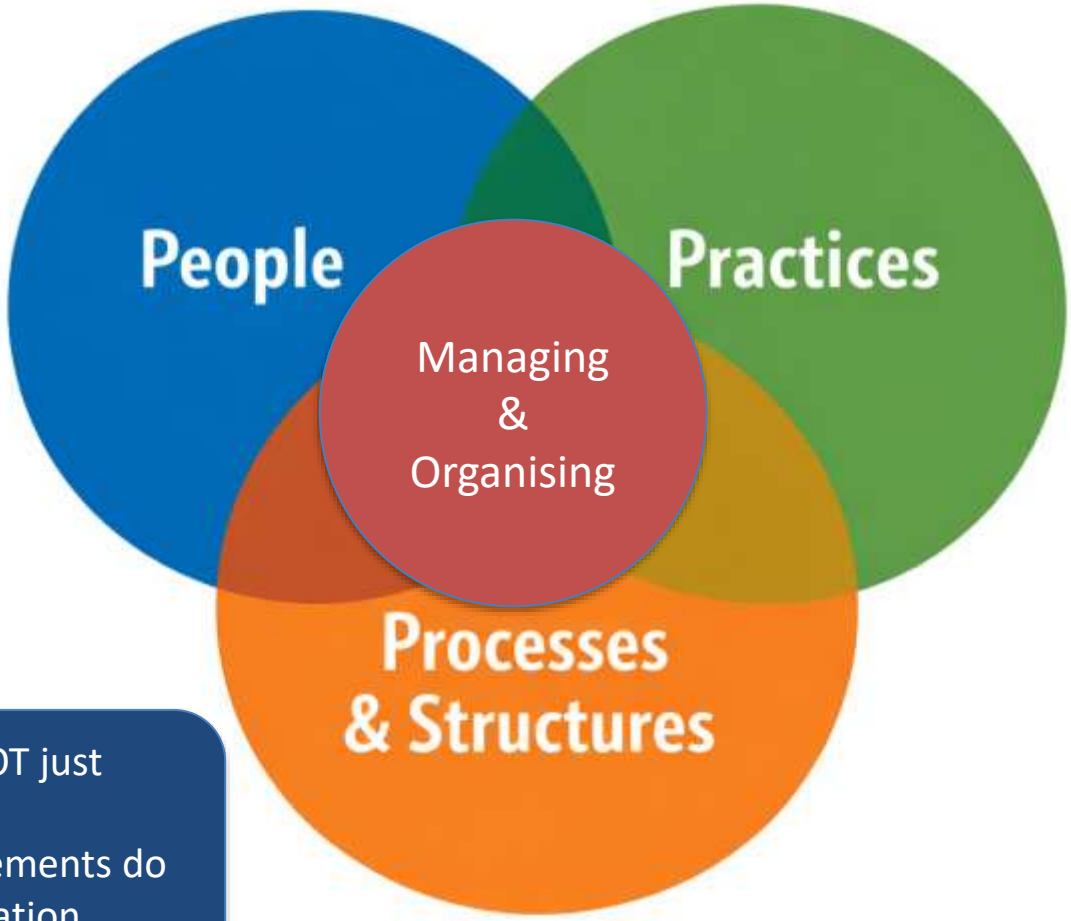
Flow and structure of Managing and Organising



- Management is NOT just about people
- In reality, these elements do not operate in isolation.
- It is about how all 3 interact

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Flow and structure of Managing and Organising

People	Practices	Processes & Structures
Not just employees includes: • Individuals • Teams • Leadership • Motivation	"How things are done" Includes: • Company culture • Power, politics and decision making • Communication style	The "system" behind everything: • Knowledge and learning • Innovation and change • Organisation design • Ethics and sustainability • Globalisation

Note: While each element plays a distinct role, organisational effectiveness emerges from the interaction between people, practices, and processes & structures.

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Making Sense of this thing call "Managing"

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1. Managing is a coherent set of assumptions, concepts, values, and practices

- Managers do not simply “tell people what to do”
- Management is a **mindset** and a **framework**, not only a position title.
  - what an organisation is
  - what counts as efficiency
  - how people should behave
  - how work should be organised

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2. “Managerialism” - a claim to special expertise based on managerial rationality.

- The belief that management knowledge is powerful and important, and that managers know the best way to run organisations.

Example:
A company may trust managers to:

- set targets
- design processes
- evaluate performance
- decide what is efficient

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3. Organisations as purposive goal-oriented tools

- From a management view, organisation must be arranged and coordinated so it can achieve its goals.
- Examples:
  - a business aims for profit and growth
  - a school aims to educate students
  - a hospital aims to deliver healthcare

4. Managing involves sensemaking and framing

- Sensemaking:
  - trying to understand what is happening
  - interpreting a confusing situation
  - deciding what something means
- Managers often face uncertainty, so they must make sense of:
  - market changes, staff problems, conflict, new technology, unexpected crises
- Framing actions in order to accomplish objectives
  - interpreting reality and influencing how others understand reality

"*Kaninchen und Ente*" ("Rabbit and Duck") from the 23 October 1892 issue of *Fliegende Blätter*

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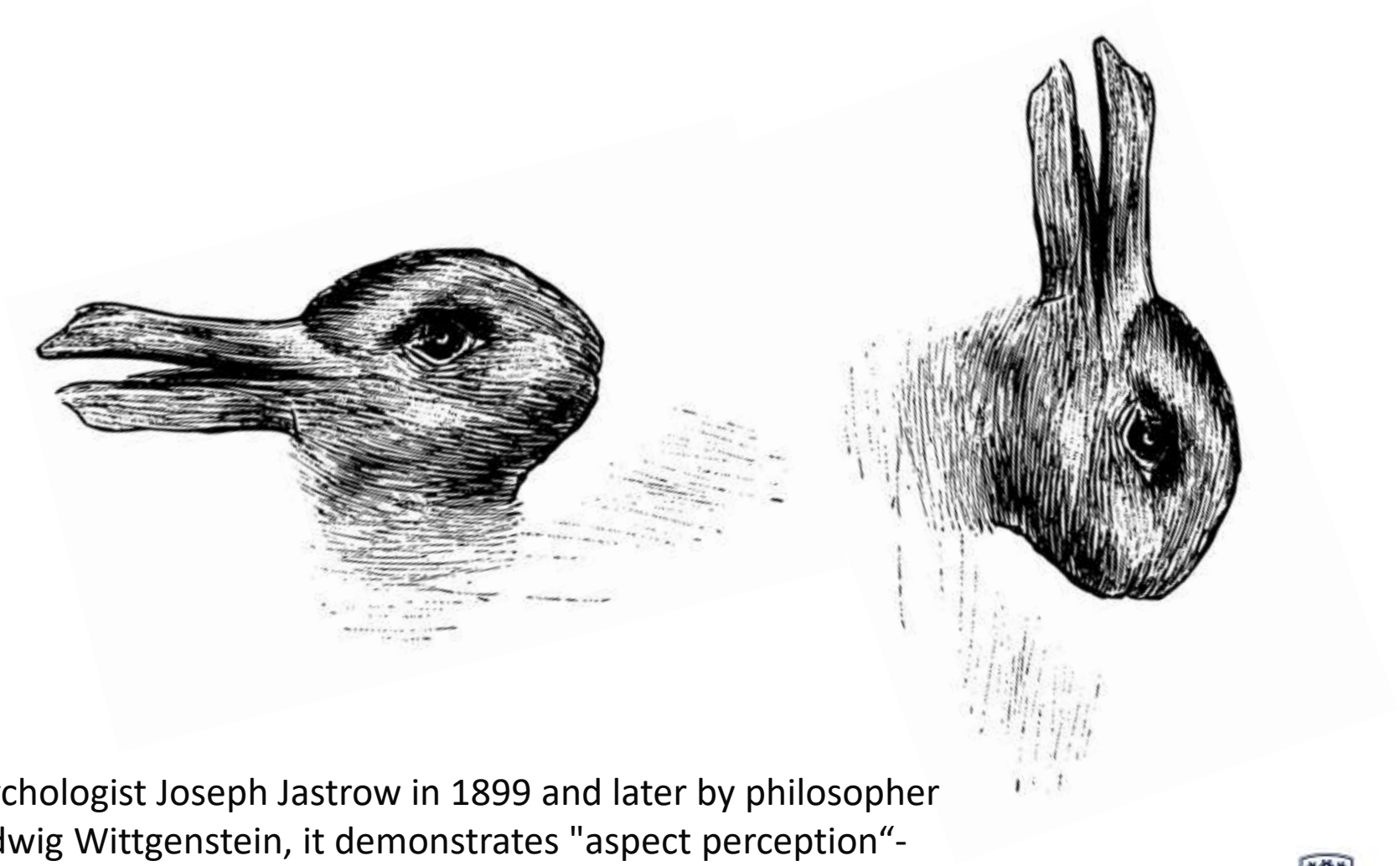
A duck or a rabbit?



Psychologist Joseph Jastrow in 1899 and later by philosopher Ludwig Wittgenstein, it demonstrates "aspect perception“- the ability to see the same information in multiple, equally valid ways

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‘Mental Model’

- People don’t see reality - they see interpretations
- We make sense of a complicated world by bringing our own mental models
- What we see if often not a ‘fact’ but a personal interpretation based on our expectations

Student A: Opportunity!

Student B: Risk!

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‘Mental Models'

- We make sense of a complicated world bringing our own mental models
- Help us make sense of the world and frame action:

Pros	Cons
• Enable us to think fast and act quickly • More accurate mental models increase performance	• Make us passive thinkers • Reject information that does not automatically ‘fit’ • Automatically fill in missing information for sensemaking • Wrong assumptions

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Managers operate in uncertainty, not clarity

Ambiguity in Managing

"Management is not clear-cut. It is messy."

- Unclear problems
- Conflicting goals
- Lack of resources
- Role ambiguity
- Uncertain outcomes

Managers often:

- Not sure what the problem is
- Not sure what's going on
- Not sure who's supposed to do what
- Not sure how to get what we want
- Don't have resources

This is very REALISTIC

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Coping with ambiguity: Bounded Rationality

- How do managers make decisions when things are unclear, messy, and uncertain?

What is “Bounded Rationality”?

- Humans are not perfectly rational decision-makers
  - don’t have all information
  - don’t have unlimited time
  - don’t have unlimited mental capacity
- **Wrong assumption:**
  - Managers = always logical, perfect decision-makers

Note: Managers don’t make perfect decisions. They make decisions under pressure, with limited information, and with limited thinking capacity

(Foss & Weber 2016).

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Cognitive Biases

Too much data	Filter	Miss things
Confusing ambiguous	Fill gaps	False beliefs
Fast pace	Conclusions	Mistakes
Overload	Few specifics	Error & bias

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Cognitive Biases

Too much data	Filter	Miss things

e.g. A manager receives 50 emails . skim quickly focus on what “looks important” . Miss out important details

Confusing ambiguous	Fill gaps	False beliefs
Fast pace	Conclusions	Mistakes
Overload	Few specifics	Error & bias

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Cognitive Biases

Too much data	Filter	Miss things
Confusing ambiguous	Fill gaps	False beliefs

e.g. A team member is quiet in meetings. Manager assumes: He is not engaged. This creates false belief

Fast pace	Conclusions	Mistakes
Overload	Few specifics	Error & bias

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Cognitive Biases

Too much data	Filter	Miss things
Confusing ambiguous	Fill gaps	False beliefs
Fast pace	Conclusions	Mistakes

e.g. A customer complains once. Manager immediately decides: This product is failing. But: it may be a one-off issue

Overload	Few specifics	Error & bias

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Cognitive Biases

Too much data	Filter	Miss things
Confusing ambiguous	Fill gaps	False beliefs
Fast pace	Conclusions	Mistakes
Overload	Few specifics	Error & bias

e.g. When overwhelmed, we: simplify too much. Instead of analysing: detailed data. Manager says: “Sales are bad this month, something is wrong”. Result: Poor decisions, biased thinking

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Bringing Concepts Together

- The big idea - Management is not just doing tasks. Not just managing people.
- It is an **ongoing thinking process** of interpreting reality and influencing others
- **3 key processes**:
  1. Sensemaking
  2. Sensegiving
  3. Sensebreaking

Sensemaking: interpret

- an ongoing process of applying various mental models to respond to our environment

Sensegiving: influence

- Organisational leaders and managers use certain mental models to frame a dominant way of practising in organisations
  - Influencing how others understand the situation
  - E.g. Sales are dropping

"This is a crisis, we must act fast"

OR

"This is a temporary issue, stay calm"

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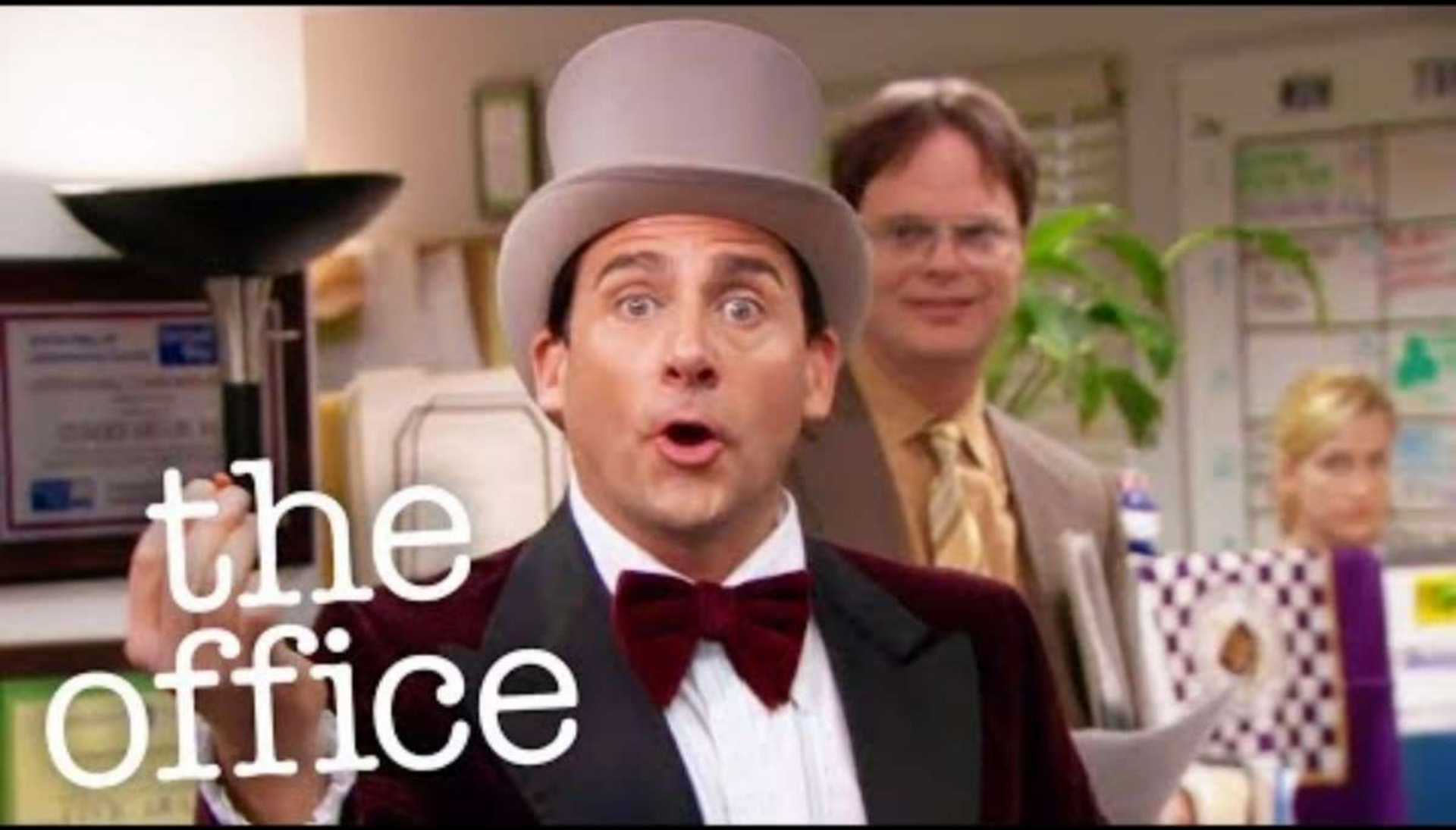
Sensebreaking: challenge

- These models are challenged and reformed by organisational members due to new knowledges, failures, crisis and societal changes.
  - Challenging existing ways of thinking
  - E.g. Traditionally, work must be done in office. After COVID: remote work becomes normal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office

Summary

- Changing societal paradigms have implications for managing and organising
- Flow and structure of managing and organizing entails people, practices and processes and structures.
- In managing we deal with complexity, ambiguity, value dilemmas, political pressures and paradigm shifts reflected in changing nature of organisations, global conditions economic contexts.
- Managers respond to such complexity, pressures and paradigm shifts through processes of:
  1. Sense making
  2. Sense giving
  3. Sense breaking

Reflect

- I invite you to reflect on your learning today write down some thoughts that you may re-visit later in the session. Here is a question to prompt your thinking:

"Has your understanding of managing and organisations changed? If so how? If not, why?"

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